

TELECOM MARKET INTELLIGENCE — MONTHLY PULSE

Austria Telecommunications Market

June 2026 — Competitive Intensity Brief

Run date: 2026-06-09

Operators covered: A1 Telekom Austria · Magenta Telekom (T-Mobile) · Drei (Hutchison)

Research window: Last 90 days (March–June 2026) + 18-month baseline refresh

Note: First run — no prior baseline existed. Baseline.md generated this run.

Year So Far

Austria's mobile market has been defined in 2026 by MVNO expansion squeezing MNO margins from below while the three main operators compete for fixed-mobile bundle lock-in from above. A1 Group's domestic segment has seen revenue pressure — growth is being carried by its CEE subsidiaries — while Magenta and Drei have each committed multi-billion-euro infrastructure programmes to defend share with network quality rather than price. No structural M&A has reshuffled the market; competition is primarily a tariff and ecosystem battle, with coordinated April price hikes adding short-term margin relief but accelerating MVNO migration.

Last 90 Days

DIRECTIONAL VERDICT

Intensifying — MVNO share gains are compressing MNO domestic ARPU while all three incumbents are locked into heavy capex commitments, reducing pricing flexibility and raising the cost of retaining subscribers.

- **Earnings — A1 Group Q1 2026** — Group revenues +3.9% YoY driven by 11.5% international segment growth; Austria domestic segment declined, with group mobile ARPU compressing to €7.5. Net result +14.7% on lower CAPEX (€164M vs €222M); FCF +53.5%; 2026 guidance 2–3% growth reaffirmed. CEO Plater: *"Expecting us to deliver growth in a very weak economy, I think it's too ambitious."* ([EQS News](#), 2026-04-21)
- **Earnings — Magenta Q1 2026** — Revenue -1.1% YoY to €363M; EBITDA AL -4.3% to €134M. Mobile communications +1.2%; fixed under pressure. Confirms all three MNOs are experiencing domestic revenue headwinds simultaneously. ([Telecompaper](#), 2026)
- **Pricing — April 2026 Wertsicherung hikes** — All three MNOs raised prices 1 April 2026 via CPI-indexed clauses: A1 +3.5%, Magenta +3.5%, Drei +6.5% (two years compounded). Austrian law grants no extraordinary cancellation right, locking customers in — but MVNOs (HoT, Spusu) positioned explicitly as no-hike alternatives, accelerating mid-market migration. ([LTE-Forum Österreich](#) / [Heute.at](#), 2026-04)
- **MVNO pressure** — Austria's MVNO segment reached 18.3% mobile market share (+1.5pp YoY in Q1 2025); HoT and Spusu offer 50–60 GB plans at €9.90/

month, undercutting MNO post-paid by more than two-thirds. Austrian Post set to launch mobile + internet MVNO in Q2 2026 — most significant new entrant in years. ([Mobile Europe](#), 2026)

- **Spectrum — April 2026 auction** — RTR raised €39.41M from 2.3/2.6 GHz auction: Magenta 100 MHz (€13.18M), Drei 100 MHz (€15.21M), A1 ~75 MHz (€11M). Closes RTR 2022–2026 spectrum plan; all major bands now renewed. No new entrants bidding. ([Telecompaper](#), 2026-04)
- **Infrastructure race** — Magenta committed €2bn to 2030 targeting 2.5M fiber premises (~60% of households) via EUR 1bn JV with Meridiam; Drei signed wholesale fiber deal with oGIG (Allianz subsidiary, 3M homes) avoiding own-network CAPEX; Drei 5G SA already covers 1.3M homes. National FTTP at 38% (Q4 2024). ([TelecomTV](#))

Outlook to Year-End

- **A1 Austria domestic recovery (Q2–Q3 results, August/November 2026)** — A1 must demonstrate domestic revenue stabilisation; failure while CEE carries group growth increases investor pressure for a promotional domestic response, which could trigger broader market reaction. This is the single most important signal to watch.
- **MVNO share threshold** — Austrian Post MVNO entry expected Q2 2026 could push penetration past 20%; RTR and BWB (who already called a "is competition at risk?" press conference) may accelerate formal wholesale access review proceedings if MNO domestic declines continue.
- **Magenta FTTH rollout pace** — Coverage announcements from the Meridiam JV in H2 2026 will directly challenge A1's dominant >44% fixed broadband share; if Magenta converts fibre subscribers aggressively, the fixed market intensifies sharply heading into 2027.

Sources

A1 Telekom Austria Group Q1 2026 Results — EQS News / A1 Group IR, 2026-04-21

A1 Group Q1 2026 Results — Finanzwire, 2026-04-21

Magenta Telekom records revenue, earnings decline in Q1 — Telecompaper, 2026

Drei Austria records lower revenues, flat EBITDA in 2025 — Telecompaper, 2026

Austria raises EUR 39M in auction of 2.3/2.6 GHz bands — Telecompaper, 2026-04

Austria's FTTH Fight Club: Magenta EUR 1bn JV, Drei Taps A1's Network — TelecomTV

Austria's MVNO market share climbs to 18.3% — Mobile Europe, 2025

Wertsicherung 2026: Tarife steigen 3.5–6.5% — LTE-Forum Österreich, 2026

[Bis zu 6,5 Prozent: Mobilfunkpreise schmelzen in die Höhe](#) — Heute.at, 2026-04

[Austria Telecom Operators Country Intelligence Report 2025](#) — GlobeNewswire, 2025-10-21

[AFCA and RTR press conference: Austria's mobile telecom market — is competition at risk?](#) — BWB/AFCA

[Digital connectivity in Austria](#) — European Commission, 2025-09

[A1 Group Q3 2025 Results](#) — A1 Group Newsroom, 2025-11

[Hutchison Drei signs fibre-optic wholesale pact with oGIG \(Allianz\)](#) — Telecompaper